MICROECONOMICS

MICRO-60

Time: 5 minutes

Outcome: Identify hidden-information problems that arise before an agreement or transaction.

Difficulty: ●●○ Intermediate

Adverse Selection

THE CORE IDEA

Adverse selection arises when one side has private information about characteristics or risk before an agreement. Because prices or terms cannot fully reflect each type, higher-risk or higher-cost participants may be more likely to enter, changing the market pool.

HOW TO RECOGNIZE IT

- Look for hidden characteristics or risk known by one party before agreement.
- The informed and uninformed sides value the transaction differently because information is unequal.
- When one price covers many types, high-risk or high-cost types may participate disproportionately.
- The pool can worsen, raising prices, reducing coverage, or eliminating beneficial trade.

WATCH OUT

Do not confuse adverse selection with moral hazard. Adverse selection is hidden information before agreement; moral hazard is hidden action or changed behavior after protection.

WORKED EXAMPLE: AN INSURANCE RISK POOL

DIAGNOSE

- hidden characteristics
- before agreement
- private risk
- selection into the pool
- market response

An insurer cannot perfectly observe applicants' health risk before enrollment, so it charges one premium based on average expected cost. Risk type already exists before coverage. Higher-risk applicants find the policy more attractive and enroll at a higher rate. The insured pool's expected cost rises, so the insurer may raise premiums or reduce coverage. Those responses can drive more low-risk buyers away, worsening selection.

CHECK YOURSELF

An applicant conceals a chronic condition before enrolling. Does the information problem occur before or after agreement?

READY? Return to the game and master this concept.